	2003	2004	2005	2006	2007	2008	2009
Sales	$5,264	$6,921	$8,490	$10,711	$14,835	$19,166	$24,509
Growth (%)	33.84%	31.48%	22.87%	26.18%	38.50%	29.19%	27.88%
Operating Income	270	440	432	389	655	842	1129
Operating Income (%)	5.13%	6.36%	5.09%	3.63%	4.42%	4.39%	4.61%
Plus: R&D	257	263	451	662	818	1033	1240
Adj. EBIT	527	723	883	10.51	1473	1875	2369
Adj. Operating Income (%)	10.01%	10.45%	10.40%	9.81%	9.93%	9.78%	9.67%

	2010	2011	2012	2013	2014
Sales	$34,384	$48,077	$61,093	$74,452	$88,968
Growth (%)	40.29%	39.82%	27.07%	21.87%	19.52%
Operating Income	1406	862	676	745	178
Operating Income (%)	4.09%	1.79%	1.11%	1.00%	0.20%
Plus: R&D	1734	2909	4564	6585	9275
Adj. EBIT	3140	3771	5240	7310	9453
Adj. Operating Income (%)	9.13%	7.81%	8.58%	9.82%	10.62%

"My higher level point is simply that Amazon could have been profitable if it wanted to," Thompson writes. "If it wanted to show earnings, it could have. It didn't. The layman who might be interested in buying Amazon stock would certainly be turned off by its lack of ever being profitable. Well, if you back out R&D — effectively backing out capex — you see how profitable it really has been."

He recognizes to do this properly you'd want to amortize those R&D costs over some time period, the same way a firm would amortize costs spent on equipment. There is some component of R&D that is essential to keep Amazon going, but there is also a growth component that helps generate future sales. "What's the mix between growth and maintenance R&D?" Thompson asks. "No idea, but it's an important question and worth discussing."

For purposes of this exercise, let's just look at R&D as an investment Amazon makes to grow its business. Since 2003, as Thompson notes, operating margin excluding R&D has been almost exactly 10 percent.

"Now, could a savvy fundamental investor ever have made the case